MITSUBISHI HC CAPITAL CANADA

Operating
Lease

Product training | December 2023

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Agenda

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01

Strategy and objectives

Strategy
and Objectives

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Behind the operating lease initiative

We aim to generate a minimum of **$50M** in operating leases next year.

Directly In line with our MTMP move from customer finance (business model 1.0) to asset finance (business model 2.0)

Bring value to our partners

Increase our profitability through additional, but intelligent, risk-taking

Differentiate ourselves from banks and not compete on rates

Penetrate new industries and markets

Develop relationships with large customers with strong financial profiles

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02

Operating lease vs Capital lease

A quick reminder

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OPERATING LEASE

Designed to use equipment

You use the equipment for an established period, and typically you use it at a lower cost than if the equipment were purchased outright or with borrowed capital. That's because the equipment has a residual value at the end of the lease which the lender can expect to realize through the sale or re-lease of the asset.

You're not paying for the full cost of the equipment. Should you decide at lease end that you'd like to continue to use the equipment, you may have the option to buy the equipment at a negotiated fair market rate or continue the lease payments on a month-to-month basis *(evergreen)*, depending on the lease terms.

The residual risk is the responsibility of the lender

The end-user must comply with return conditions required by the lender. Failure to comply with the return conditions will result in additional costs for the end-user (all provided for in the contract).

CAPITAL LEASE

Designed to own equipment

Typical terms are 24 to 84 months fully amortized, but it is sometimes possible to add a purchase option to reduce the monthly lease payment. This is always at the lender's discretion.

Typically, the equipment is bought back by the end-user at the end of the term, either by paying the purchase option in full or by refinancing it

The residual risk is the responsibility of the end-user

No return conditions

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Comparisons

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Factors	Loan	Capital lease	Operating lease
Ownership	Immediate	Lease with purchase option at end of term	Lease with purchase option at end of term
Tax depreciation	End-user	MHCCA (unless joint election)	MHCCA
Monthly payment	Higher	Lower	Lower
Purchase option	N/A	Bargain (<FMV)	Fixed or FMV
Return conditions	N/A	N/A	Yes

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4 criteria to qualify a lease as off-balance sheet

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As of January 1, 2019, new IFRS rules make it more difficult for large companies to treat leases as "off-balance sheet" when complying with IFRS (International Financial Reporting Standards).

MHCCA never makes commitment as to the accounting or tax treatment of a transaction

1. Term must be less than 75% of the asset's useful life
2. The present value of lease payments may not exceed 90% of the fair market value (initial price) of the asset
3. No bargain purchase option
4. No automatic transfer of ownership at the end of the term (client has the opportunity to return the asset to lender)

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Fair Market Value Purchase Option vs Fixed Purchase Option

Important details

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FPO Lease (Fixed Purchase Option)

Purchase option is known to our partner right from the start

A premium is added to our standard pricing programs (generally between 0.50% and 1.00%) due to the added value generated by the product and the residual risk MHCCA is taking

MHCCA unlikely to make a profit on equipment return (if value>purchase option, client would simply buy and resell to realize the gain)

For this reason, we will always apply a cushion of 3% on the residual value given to us by Asset Management Group.

Product is often used in the construction industry (for example, to facilitate replacement at regular intervals, as with snow removal or to use equipment for the duration of a specific contract)

Because of its attractive attributes, **FMV** lease should always be the first solution we propose to our partners.

FMV Lease

The purchase option is not known to our partner (the option is to buy back the equipment at its fair market value at the end of the term)

Only a lease payment is charged to the partner, neither the rate nor the residual value is mentioned, which we will use internally.

MHCCA targets a minimum yield of 4.00% NIM, ideally higher. Possibility of seeking additional profitability, as rate discussions are avoided. We take no cushion on residual value.

2 additional sources of profitability are created at the end of the term:

- Possibility of generating profit on resale of returned equipment
- Possibility of extending rents for a few months if the partner is not ready to return the equipment immediately (evergreen).

The product is often used in the material handling, technology and C&I industries (mostly because end-users often see equipment more as an expense than as a source of revenue, which is why it's important to avoid downtime by constantly renewing equipment).

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Selling tips

Benefits

for your partner

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Our partners can realize significant benefits from the following

Potential access to off-balance-sheet accounting treatment***

- When capex is limited, an opex solution could allow the equipment to be added to the client's fleet without waiting for next capex budget
- Can facilitate management of various covenants with banks

Accurate budget planning

Reduced cost of use of the equipment

Elimination of equipment obsolescence (client always upgrading to highest technological standards of industry)

Outsourced cost and responsibility of equipment management and disposal (no residual risk for the partner). Partner focus on what they are good at (operations) and let lender take care of financing and remarketing.

*** Please note that MHCCA never makes commitment as to the accounting or tax treatment of a transaction. You must therefore always mention that it is a product/structure that could qualify as off-balance sheet and that they should refer to their external advisors for counsel.

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4 Key Questions
to Consider in an FMV or $1 Buyout Lease Decision

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Always validate if the product is the right one for your customer

How long will your business need to use the equipment?

Generally speaking, if the length of time the equipment is expected to be used is short term (which usually means 48 months or less), an FMV lease may be the preferable option. Equipment expected to be used longer relative to its useful life or that you know you will want to keep at the end of the term is appropriate for a $1 buyout lease.

How soon will the equipment become obsolete in the future?

Most equipment will become obsolete at some point, some faster than others. The sooner it is expected to become outdated, the better suited it is for an FMV lease so you don't get saddled with old technology and can upgrade with new equipment that can give your business a competitive edge.

Does your business have the resources to manage assets throughout their lifecycle?

Equipment management is a function that requires resources and expertise that are beyond the scope of most businesses. Selling or disposing of the asset, maintenance, repair and other aspects of asset management become the end-user's responsibility at the end of a $1 buyout lease. With an FMV lease, you outsource the asset management function to the equipment finance company so you can focus on your core business.

Will the equipment be used for a new venture?

When embarking on an untested business venture, there may be uncertainty of when or if it will be successful. An FMV lease will enable you to mitigate the risks of uncertainty and hedge against ending up owning a piece of equipment you may not need in the future.

Programmatic approach vs one-off transaction

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Programmatic

We sign an agreement with an OEM, distributor or dealer to offer structures for all the equipment they sell

This enables us to work upstream and evaluate the various residuals from the outset, and obtain a pricing approval

We then provide our partner with a lease payment card, enabling them to submit proposals on the spot, rather than waiting until after each transaction. Much more efficient.

Bi-annual update of residuals (unless decided by credit) and monthly pricing review

Enables us to reach a larger critical mass of potential prospects

Allows us to demonstrate our added value to major partners

Can justify smaller transactions

One-Off

We work with a direct customer or a dealer on a specific transaction

We need to ask for residual values and pricing approval in relation to the structure we are looking for

We have to manage our partners' expectations, as the proposal will not be delivered on the spot

Can be very interesting with major customers and large transaction sizes

We are looking for a minimum transaction size of $250,000

If possible, we should always go for the programmatic approach

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Sharing residual risk with an OEM or dealer

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We may consider sharing the residual risk with a partner in certain cases

In any case, always discuss these exceptions with your sales and credit manager.

We're not inclined to take residual risk on any particular asset, but the OEM or dealer are. Subject to credit approval, they could then sign a full residual repurchase agreement with us. This would enable the end-user to obtain off-balance-sheet accounting treatment.

We have limited knowledge of the asset but would be prepared to take a certain risk in partnership with an OEM or dealer who knows it well. We could then decide to share the profits and losses on the residual at the end of the term according to a pre-established percentage.

The OEM and the dealer would need a slightly higher residual than we are prepared to offer. They could then increase this residual by taking the risk in the form of a first loss (usually up to 9.9% so they can still recognize the sale). In this case, we use the partial residual guarantee agreement – supplier form.

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Industries targeted

Where our main focus should be

Long life equipment types (manufacturing, construction etc.) are suitable for operating leases since they typically maintain relatively higher residual values.

It is also more economically beneficial to enter an operating lease for equipment used in projects, common in construction, and for seasonal needs, such as in agriculture.

Some shorter useful life equipment types, such as technology and office equipment, may also be appropriate for operating leases since they help end users avoid owning obsolete equipment at the end.

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Our main focus should therefore be on the following industries

Manufacturing / Commercial and Industrial	Material Handling
Construction	Technology

That said, every potential opportunity should be discussed with your sales manager.

*Due to high volatility of used asset prices, we have little interest to do this product in transportation

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Examples of programs and transactions

Programs or transactions implemented since April 1, 2023

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ZAXIS Finance

- Programmatic approach
- FPO
- Construction (wheel loaders and excavators)
- 10 transactions for $3.5M (JC Pelchat)

Linde

- Programmatic approach
- FMV
- Material handling (forklifts)
- $2.5M pipeline built since October 2023

ROKBAK

- Programmatic approach
- FPO
- Construction (articulated dump trucks)
- 1 transaction for $750K (Ross Mackay)

POMERLEAU

- One-off
- FPO
- Construction (Pile drivers)
- $2.25M (Simon Lauzon)

SANY

- Programmatic approach
- FPO
- Construction (wheel loaders)
- Residual risk sharing with dealers

HANGCHA

- Programmatic approach
- FMV
- Material handling (forklifts)
- $1M pipeline built since October 2023

We can / must now accelerate our business development!

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Internal process

Steps to follow

1 Obtain residual values

- Information to be obtained in advance (from the OEM, dealer or customer): complete equipment specs, suggested retail price and target annual usage.
- Then, contact the AMAG team (Kevin Bureau in Canada) and send them the request and information.
- Depending on the type of transaction, AMAG will typically get back to you within 24 hours to 1 week.
- AMAG will give you the corresponding RVs (which will be valid for a certain time only). Remember: if it’s a FPO, you'll have to subtract 3% from these.
- AMAG will also specify the return conditions to be used.

2 Get pricing approval

- Always obtain pricing authorization before submitting a financing proposal.
- We aim for higher profitability on this type of transaction.

3 Get credit approval or green light to quote

- Always obtain the credit's green light before submitting an on-off transaction. CR1 to CR3 only.
- Always present a programmatic opportunity on the new program call and get the green light before going any further.
- Always present a formal financing proposal, especially when the amount is significant. Templates will be available on the P drive.

4 Prepare legal documentation

- Legal documentation must be prepared by the sales operations team (structured transaction).
- Legal documentation is available on P:\FORM\MHCCL\English\Contract and appendices\FMV
- For FMV leases, we recommend the use of an MLA
- Return conditions will be provided by AMAG. The overage usage formula is available in the appendix.

5 Disburse transaction

- We follow the usual procedure.
- Until further notice, the validation center will manually inform the accounting team of the nature of the contract. In the medium term, everything should be automated.

6 Manage the return of equipment at the end of the term

- This is taken care of by the AMAG team.
- However, the involvement of the account manager 6 months before the planned return date is very important. This can also create other financing opportunities.
- A list of upcoming lease returns will be available.

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08

Contact information

Contact

By department

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Credit
John Bozzo
Éric Boisvert

AMAG
Kevin Bureau

Sales Operations
Deanna Kramer

Pricing
William McDonald

And for sales, David Gagnon, Simon Jean and Todd Taylor

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Appendix

Overage Usage

Calculation method

To calculate the cost of overage hours, we use this formula

Implied hourly rate + 20%

We use our current monthly payment to find our "hourly rate" depending on how may allowable hours we have per year and add 20% to that amount.

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EXAMPLE

$1000 per month is our payment
and we have a **500** maximum allowable hours per year.

Monthly allowable hours
500 divided by **12** months = **41.67**

Implied hourly rate
$1000 divided by **41.67** = **$24** (23.99)

Overage hour cost
Add **20%** | **24 X 1.20** = **$29** (28.80)

In this example, we would use **$29** as overage hours cost in the contract.

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